

DEBT & EQUITY

Helaba Exits Sutton Foreclosure: The Debt Was Never the Asset

A German bank assigns a \$50M mortgage to an SL Green-linked entity. The real story is who now controls the clock.

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A source-grounded Light Tower Insight. The complete note follows.

A German bank has quietly stepped away from a foreclosure fight it chose to start. That is the headline. The market signal is narrower and more instructive: Helaba assigned the \$50 million mortgage on Jeff Sutton's 29 West 34th Street to a new entity, 29 W. 34th Street Holdings LLC, which immediately reassigned it to 29 W. 34th Street Lender LLC. Court records show SL Green's chief legal officer, Andrew S. Levine, is an executive vice president of the holding company. The lender did not settle. It transferred the debt to a party with a different relationship to the asset and a different tolerance for the timeline.

This is not a foreclosure ending. It is a capital structure trade. Helaba, a foreign bank with no local operating platform and a loan that had already gone to court, chose to monetize its position rather than litigate through a receiver's lawsuit and a contested personal guarantee. The buyer of that position, connected to SL Green, is not buying a performing loan. It is buying control of the foreclosure timeline and the right to decide whether to accelerate, restructure, or hold.

The distinction matters because the asset itself is not the prize. The building at 29 West 34th Street is a challenged retail property with a tax bill that exceeds its rent roll. Sutton's own filings claim the city assessed taxes as though the property generated \$6.6 million in gross rental income, while actual rent was about \$680,000. Two prior tenants, Geox and Aldo, entered bankruptcy. The receiver, Ian Lagowitz, has already sued Sutton personally for \$12.2 million in unpaid real estate taxes. The property is not generating enough cash to cover its carrying costs, let alone service a \$50 million mortgage. No lender is buying that cash flow. The buyer is buying the option to decide what happens next.

Helaba's calculus is straightforward. The bank originated the loan in 2018, filed a foreclosure action in September 2025 after issuing default notices over unpaid taxes, and faced a vigorous defense from Sutton's attorneys at Oved & Oved, who argued the lender's move was a transparent attempt to tarnish the retail mogul's reputation. Sutton signed a limited personal guarantee that would only make him liable in cases of fraud or intentional misrepresentation. The lender was in court, with a receiver in place, but facing a borrower with both the resources and the legal strategy to delay. For a German

bank with no New York retail servicing platform, the expected return from continuing to litigate was lower than the price a motivated buyer would pay for the position today.

The buyer's calculus is different. SL Green, through its affiliated entity, is not acquiring a distressed retail loan out of charity. It is acquiring the ability to control the outcome on a property it knows well. Sutton originally acquired the building in a joint venture with SL Green in 2006 and later bought out the partner's stake. SL Green's legal officer is now an executive of the entity holding the debt. That proximity matters. The buyer can assess the property's true value, the receiver's strategy, the city's tax assessment appeal process, and Sutton's willingness to negotiate in a way a foreign bank never could. The buyer can also decide to hold the loan rather than foreclose, giving Sutton time to lease the vacant space or settle the tax dispute, if that path produces a better recovery than a forced sale.

The transaction reveals something about the current market for distressed retail debt in New York. The bid for these positions is not coming from traditional distressed debt funds demanding a 20 percent yield. It is coming from parties who already have a relationship to the asset, the sponsor, or the location. The premium is not in the coupon. It is in the optionality. A buyer who can assess the property's leasing potential, the city's tax assessment process, and the borrower's personal financial position can underwrite a recovery that a passive lender cannot see. That information advantage is the real asset being transferred.

For owners with maturing loans on challenged retail assets, the implication is clear. The market for your debt is not dead. It has shifted from passive lenders who want to exit to informed buyers who want to control. If you have a relationship with a capital partner who understands the asset, that partner may be the most likely buyer of your loan if your lender decides to sell. The question is whether that buyer's timeline aligns with yours.

For lenders holding similar positions, the lesson is about timing. Helaba did not exit at a loss it could not absorb. It exited at a moment when the legal costs, the management burden, and the uncertainty of a contested foreclosure exceeded the price a motivated buyer would pay. The bank chose liquidity over control. That is a rational decision, but it is not a neutral one. It transfers the clock from a lender

who wanted to foreclose to a buyer who may want to wait.

The next test for this market is whether the new holder accelerates or extends. If the entity controlled by SL Green files a motion to replace the receiver or settle the tax lawsuit, the strategy is restructuring. If it moves to schedule a foreclosure sale, the strategy is liquidation. The court docket will answer that question before any press release does. Watch the filing, not the quote.

SOURCES

— The Real Deal —

<https://therealdeal.com/new-york/2026/07/23/helaba-exits-foreclosure-lawsuit-against-jeff-sutton-s-herald-square-retail-property/>

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